

25NWCV02221 25NWCV02221

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WINGS FINANCIAL

CREDIT UNION v. JUANA MENDOZA

CASE NO.: 25NWCV02221

HEARING: 07/02/2026 @ 9:30 AM

#14

TENTATIVE ORDER

The Court will hear from the parties and review any additional evidence at the hearing before making its ruling. (Code Civ. Proc., § 703.580, subd. (d).)

Background

On June 20, 2025, Plaintiff Wings Financial Credit Union (Plaintiff or Judgment Creditor) filed this breach of contract against Defendant Juana Mendoza (Defendant or Judgment Debtor). The complaint alleges that on July 11, 2023, Defendant executed a written agreement with Plaintiff “in the principal sum of \$25,000.00, which was payable in monthly installment payments of \$515.85, beginning on August 31, 2023, with one final payment of \$515.27 due on July 31, 2029.” (Complaint, ¶ 5.) The complaint alleges Defendant defaulted on the terms of the agreement by failing to pay the amount owing. (Complaint, ¶ 7.) Defendant additionally applied to Plaintiff for a credit card and defaulted on its terms, resulting in an additional debt in the amount of \$21,570.39. (Complaint, ¶¶ 11-12.) The complaint asserts two causes of action: (1) breach

of unsecured written agreement and (2) breach of agreement.

On November 25, 2025, the Court entered Default Judgment as to Judgment Debtor. Judgment was entered in the amount of \$53,507.24 against Judgment Debtor and in favor of Judgment Creditor.

On December 11, 2025, a Writ of Execution was issued. It was returned and filed on June 12, 2026.

On January 22, 2026, Judgment Creditor filed the instant notice of hearing on claim of exemption opposing Judgment Debtor's claim of exemption.

Legal Standard

"As a general rule, all property of the judgment debtor is subject to enforcement of a money judgment. [Citation.] The California Constitution, however, requires the Legislature to protect from forced sale a certain portion of the homestead and other property of all heads of families." (Ford Motor Credit Co. v. Waters (2008) 166 Cal.App.4th Supp. 1, 8, citing Cal. Const., art. XX, § 1.5.) "The exemptions available to a judgment debtor are for the personal benefit of the judgment debtor. These exemptions relate to property that might ordinarily be subject to enforcement of a money judgment by execution or otherwise, but the debtor is allowed to retain all or part of this property for the protection of the debtor and the debtor's family. The exemptions are wholly statutory and cannot be enlarged by the courts." (Ibid., citations omitted.) "[T]he exemption statutes should be construed, so far as practicable, to the benefit of the judgment debtor." (Ibid., ["The exemption laws are designed to facilitate the debtor's financial rehabilitation and have the effect of shifting social welfare costs from the community to judgment creditors."].)

"Within 10 days after service of the notice of claim of exemption, a judgment creditor who opposes the claim of exemption shall file with the court a notice of opposition to the claim of exemption and a notice of motion for an order determining the claim of exemption and shall file with the levying officer a copy of the notice of opposition and a copy of the notice of motion. Upon the filing of the copies of the notice of opposition and notice of motion, the levying officer shall promptly file the claim of exemption with the court." (Code Civ. Proc., § 703.550.)

At a hearing on a claim of exemption, "the [judgment debtor] has the burden of proof" in demonstrating that her wages are exempt for necessities. (Code Civ. Proc., § 703.580, subd. (b).) In meeting this burden, the judgment debtor must establish the right by evidence or facts; an affidavit which merely follows the language of the statute and states nothing more than conclusions of law is insufficient. (Le Font v. Rankin (1959) 167 Cal.App.2d 433, 435.) Generally, "common necessities of life" means essentials commonly required by all persons for the sustenance of life, whatever their employment status and includes medical care. (J. J. MacIntyre Co. v. Duren (1981) 118 Cal.App.3d Supp. 16, 18-19). "If no other evidence is offered, the court, if satisfied that sufficient facts are shown by the claim of exemption (including the financial statement if one is required) and the notice of opposition, may make its determination thereon. If not satisfied, the court shall order the hearing continued for the production of other evidence, oral or documentary." (Code Civ. Proc., § 703.580, subd. (c).)

Discussion

Judgment Creditor has submitted a proof of service showing that a copy of the notice of opposition and a copy of the notice of motion have been filed with the levying officer as of January 22, 2026. Pursuant to Code of Civil Procedure section 703.550, the levying officer filed the claim of exemption with the Court on January 27, 2026. Therefore, Judgment Creditor has satisfied the requirements under Code of Civil Procedure Section 703.550.

Judgment Debtor states that she is willing to withhold \$100 every two weeks. Judgment Debtor's financial statement shows that Judgment Debtor's gross monthly pay is \$5,500.00 and Judgment Debtor's monthly take-home pay after deductions is \$4,045.08. Judgment Debtor lists that she owns the following property: Wells Fargo in the amount of \$2,500 used for mortgage; Bank of America in the amount of \$1,500 used for mortgage; a Honda in the amount of \$16,000 which Judgment Debtor is still paying, real estate equity in the amount of \$250,000; and jewelry and furniture in the amount of \$500.

Judgment Debtor has the following monthly expenses totaling \$3,740: \$2,084.62 for house payments; \$350 for food and household supplies; \$200 for utilities and telephone; \$125 for medical and dental payments; \$150 in transportation costs and \$831 in installment payments. Additionally, Judgment Debtor owes the following debts monthly: to Geico for car insurance in the

amount of \$257.35; to Honda in the amount of \$504; to Wells Fargo in the amount of \$35; and to Citi Card in the amount of \$41.

Judgment Debtor explains that as a result of a divorce in 2022, there was a significant change to her income due to the division of assets. In December of 2023, Judgment Debtor was involved in a motor vehicle accident in which she was at fault. In November of 2023, Judgment Debtor assisted her mother with care after a cancer diagnosis, and Judgment Debtor was responsible for her mother's funeral expenses when she passed away in June of 2024. Judgment Debtor includes her mother's death certificate. (Attach. 6, p. 3.) Additionally, "[a]s a result of the combined emotional and financial impact of my divorce, car accident and [her] mother's illness and passing, [Judgment Debtor] experienced depression and was placed on medical disability beginning in March 2024. During this time, [Judgment Debtor's] income was substantially reduced." (Attach. 6.) Judgment Debtor includes a document stating that she was unable to work from February 19, 2025 to March 27, 2025 due to a medical condition. (Attach. 6, p. 5.) Judgment Debtor includes a notice indicating her last benefit payment for her disability insurance was on March 27, 2025. (Attach. 6, p. 2.) Judgment Debtor returned to work on June 25, 2025.

Judgment Creditor's notice of opposition provides that Judgment Creditor "opposes monthly expenses of \$200.00 for utility and telephone, \$350.00 for food and household supplies, \$2,084.62 for house payment and maintenance, \$150.00 for transportation and auto expenses, and \$125.00 for medical and dental. [Judgment Creditor] also opposes \$831.00 for installment payments... [Judgment Creditor] requests 20% allowable by law per pay period for payment on account of this debt." (Notice of Opposition.)

Judgment Creditor argues that Judgment Debtor does not prove that the stated portion of her earnings "is necessary for the support of the judgment debtor." (Code Civ. Proc., § 706.051, subd. (b).) Judgment Creditor argues that it should be permitted to receive 20% of Judgment Debtor's disposable earnings, per pay period.

In general, a creditor is allowed to withhold 25 percent of the debtor's net income. (Code Civ. Proc., § 706.050, subd. (a).) Code of Civil Procedure section 706.050, subdivision (a) provides: "Except as otherwise provided in this chapter, the maximum amount of disposable earnings of an individual judgment debtor for any workweek that is subject to levy under an earnings withholding order shall not exceed the lesser of the following:

(1) Twenty percent of the individual's disposable earnings for that week.

(2) Forty percent of the amount by which the individual's disposable earnings for that week exceed 48 times the state minimum hourly wage in effect at the time the earnings are payable. If a judgment debtor works in a location where the local minimum hourly wage is greater than the state minimum hourly wage, the local minimum hourly wage in effect at the time the earnings are payable shall be used for the calculation made pursuant to this paragraph."

(Code Civ. Proc., §§ 706.050, subd. (a); 706.011, subd. (b)

["'Earnings' means compensation payable by an employer to an employee for personal services performed by such employee, whether denominated as wages, salary, commission, bonus, or otherwise"]; 706.011, subd. (a) ["'Disposable earnings' means the portion of an individual's earnings that remains after deducting all amounts required to be withheld by law"].) Judgment Creditor states that 20% is the lesser of the amounts.

Judgment Creditor argues that "the Debtor's tax withholdings of \$858.98, are required to be withheld by law, and are thus deducted from her gross wages, \$5,500.00, before making the 25% calculation. The debtor has not provided enough information for the court to determine what the 'before tax deductions' and the 'after tax deductions' are, and thus, to determine whether they are required to be withheld by law." (Opp., 2:19-23.) The Court agrees. Judgment Debtor states that in addition to the aforementioned tax withholdings, \$167.40 is deducted for dental and medical insurance, \$347.32 is deducted for social security; and \$81.22 is deducted for an unknown reason. There is not enough information to decide whether the \$81.22 is deducted by law.

Additionally, the Court agrees with Judgment Creditor that Judgment Debtor has not met its burden of proof in demonstrating that her wages are exempt for necessities. (Code Civ. Proc., § 703.580, subd. (b).)

Given Claimant's lack of supporting evidence on her claim of exemption and the remaining questions regarding the withholdings in the financial statement, the Court will hear from the parties and review any additional evidence at the hearing before making its ruling.

“At the conclusion of the hearing, the court shall determine
by order whether or not the property is exempt in whole or in part.” (Code Civ.
Proc., § 703.580, subd. (d).) “If not satisfied, the court may order the
hearing continued for the production of other evidence, oral or documentary.” (Code
Civ. Proc., § 703.580, subd. (c).)